CASE STUDY 12

CORPORATE REVIEW POLICY – CORPORATE GOVERANCE & ETHICS POLICY

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1. INTRODUCTION;

About Microsoft:

Microsoft is a multinational company. Its corporate governance framework includes a board of directors, governance guidelines, committee responsibilities, and business conduct standards. Microsoft says its governance framework is intended to support accountability, responsible decision-making, and public trust.

About Policy:

Guidelines relating to accountability, transparency, ethical decision-making and responsibilities within the organisation's governance structure. Helps strength accountability, transparency, ethical practices and responsible corporate decision-making.

2. Policy overview;

- **Company:** Microsoft is a multinational company that operates in many countries.
- **Purpose of the policy:** Microsoft's policies guide how the company is managed and how employees and leaders are expected to behave.
- **Board oversight:** The Board of Directors oversees important areas of the company and helps ensure that leaders are accountable for their decisions.
- **Ethical conduct:** Microsoft's Standards of Business Conduct, called its **Trust Code**, guide employees and leaders to act honestly, follow the law, and make responsible decisions.
- **Reporting concerns:** Employees can report suspected misconduct or policy violations through Microsoft's reporting channels.
- **Protection for reporters:** Microsoft says employees who raise concerns in good faith should not face retaliation.
- **Handling problems:** Microsoft's ethics and compliance program aims to prevent problems, identify them, and take steps to address them.
- **Why it matters:** These policies help Microsoft promote responsible business conduct and maintain trust with employees, customers, investors, and business partners.

3. KEY PROVISIONS;

- **Board oversight:** The Board of Directors oversees the company's management, business conduct, and major risks.
- **Standards of Business Conduct:** Employees and leaders are expected to follow Microsoft's Trust Code and act honestly and responsibly.
- **Compliance with laws:** The company expects its people and business partners to follow applicable laws and regulations.
- **Conflict of interest:** Employees should avoid personal interests that could improperly affect their work decisions.
- **Protection of company information:** Employees are expected to handle confidential information responsibly.
- **Reporting concerns:** Employees can report suspected misconduct or violations of company policy.
- **Protection from retaliation:** Microsoft says people who raise concerns in good faith should not be punished for doing so.
- **Investigation and response:** Reported concerns are reviewed, and the company may take corrective or disciplinary action when appropriate.
- **Supplier and partner standards:** Microsoft expects suppliers and business partners to meet high standards of ethical conduct and compliance.

4. COMPLIANCE & GOVERNANCE ANALYSIS;

Microsoft's compliance and governance system combines board oversight with rules for employees and business partners. The Board of Directors and its committees oversee major business matters, while Microsoft's Standards of Business Conduct—the Trust Code—explain the ethical behavior expected throughout the company. Microsoft also provides ways to report suspected misconduct and says people who raise concerns in good faith are protected from retaliation. Its compliance program aims to prevent problems, identify possible violations, and address them. Together, these measures help Microsoft promote accountability and responsible conduct across its international operations. Their effectiveness depends on how consistently the rules are communicated, followed, and enforced throughout the company.

5. POLICY EVALUATION;

Microsoft's corporate governance and ethics policies provide a clear framework for responsible business conduct. They identify the Board's oversight role, set expectations for employees and business partners, and provide ways to report concerns. The stated protection against retaliation may also encourage employees to speak up about possible misconduct. These features can help strengthen accountability and trust across Microsoft's international operations. However, a written policy is effective only when people understand it and follow it consistently. Microsoft's policy should therefore be evaluated by how well concerns are investigated, violations are addressed, and ethical standards are applied throughout the company.

6. BUSINESS RELEVANCE;

Microsoft's corporate governance and ethics policies are important to its business because they help guide decisions and reduce the risk of misconduct, legal violations, and damage to the company's reputation. Clear standards can help employees and business partners understand what conduct is expected, while reporting channels give people a way to raise concerns. Strong governance can also build confidence among customers, investors, employees, and suppliers. For a multinational company like Microsoft, consistent ethical standards help support responsible operations across different countries and business units.

7. RECOMMENDATION;

- Provide regular ethics and compliance training so employees understand how to apply the policies in their daily work.
- Make reporting channels easy to access and available to employees in all countries where Microsoft operates.
- Investigate concerns promptly and fairly, while protecting the confidentiality of those involved.
- Apply disciplinary measures consistently when policies are violated, regardless of an employee's position.

- Review the policies regularly and update them when laws, technology, or business risks change.
- Communicate policy updates clearly to employees, suppliers, and business partners.
- Publish clear information about compliance efforts and lessons learned, while protecting private and sensitive details.

8. CONCLUSION;

Microsoft's corporate governance and ethics policies provide guidance on how the company should be managed and how its employees and leaders should act. Board oversight, the Trust Code, compliance procedures, and channels for reporting concerns support accountability and responsible conduct. These policies are relevant to Microsoft's business because they can help reduce risks and maintain trust with customers, employees, investors, and business partners. Their success depends on consistent communication, fair enforcement, and regular review as the company and its operating environment change.

9. REFERENCE;

Microsoft Investor Relations - Corporate Governance Policies and Guidelines

Legal Compliance and Ethics | Microsoft Legal

Responsible Corporate Reporting and Governance | Microsoft CSR